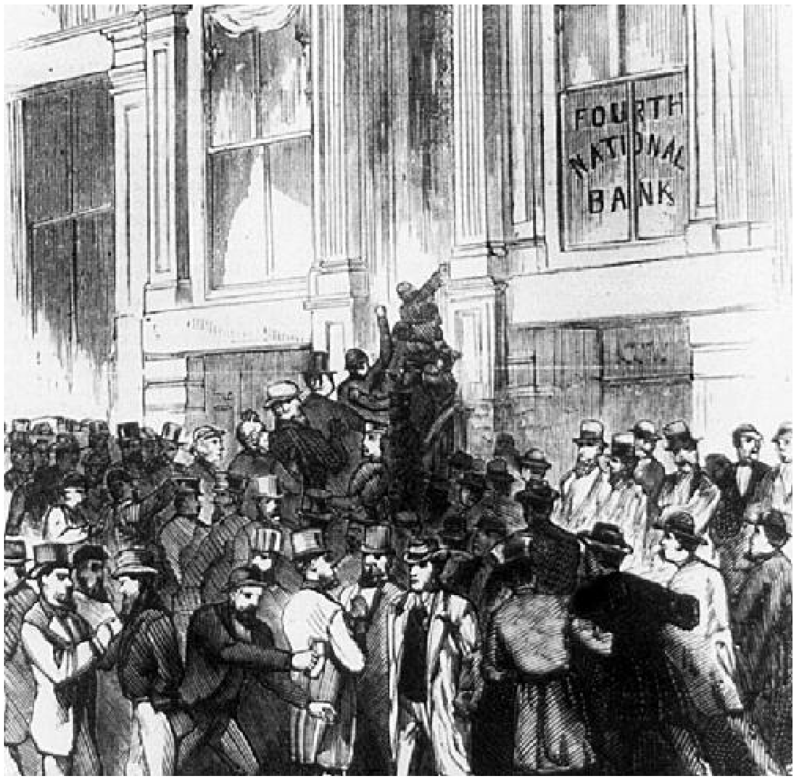
Bank runs



Typically, banks keep only a small percentage of deposits as cash, which they can use to pay immediately to depositors making withdrawals. Banks need to judge the prudent level of deposits to keep as ready cash, balancing this with the need to earn profits by lending the money to borrowers. A bank run happens when depositors believe that the bank is no longer able to pay them back their money.

Bank runs create their own momentum and can even be self-fulfilling: this is due to the fact that banks operate on the assumption that only some borrowers will want to withdraw their money in a given period. If borrowers come to doubt the bank's ability to pay them back, they will all rush to withdraw simultaneously and then the bank really won't be able to pay them. This is why many governments insure bank deposits in the hope that this will short-circuit the cycles of panic that have the potential to sink otherwise healthy banks.